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The Minister of Economic Affairs and Climate
Ms. Mr. Drs. M.A.M. Adriaansens
P.O. Box 20401
2500 EK THE HAGUE

Date

January 11, 2024

Our reference

z2023-227185

Your letter of

September 21, 2023

Contact person

070-8888 500

Your reference

WJZ / 36572928

Subject

Advice on the draft for the legislative proposal Consolidation Act EZK 20..

Dear Ms. Adriaansens,

In your letter dated September 21, 2023, the Authority for Personal Data (AP) was consulted pursuant to the provisions of Article 36, paragraph 4, of the General Data Protection Regulation (GDPR) regarding the draft legislative proposal for the Restoration of technical legislative defects and gaps as well as the introduction of other subordinate changes in various legal provisions in the area of the Ministry of Economic Affairs and Climate (hereinafter: the draft).

Assessment of the personal data aspects of the draft gives the AP reason to make several comments.

Scope of the draft

The aim is to create a legal basis for the Ministers of the Ministries of Economic Affairs and Climate (EZK) and Agriculture, Nature and Food Quality (LNV) for maintaining a register to prevent the misuse of subsidies.

From the perspective of personal data protection, the newly inserted Article 7a in the Framework Act on EZK and LNV subsidies regarding the registration of misuse is particularly important.

In line with the general national policy on this point and in line with common terminology, the draft provides for a departmental registration. The purpose of this registration is "to prevent misuse in a subsequent subsidy provision by and in the policy area of one of the aforementioned ministers."¹ According to the explanation, the register is intended to provide the subsidy provider with information about previous misuse of subsidies by an (individual) subsidy recipient, with a view to the risk analysis that must be conducted when applying for a subsidy or when drafting or amending a subsidy scheme or subsidy module for the consequences of a subsequent subsidy provision. The regulation further describes, among other things, the specific cases in which registration occurs and the data that are registered. Registration takes place if there is 1) misuse for the purpose of subsidy provision and 2) that misuse will lead or has led to a rejection of a subsidy application, the subsidy recipient has received a relevant fine, the subsidy has been set lower, has been revoked, or has been amended, or if a report has been made to the Public Prosecution Service due to suspicions of criminal offenses as referred to in Article 162 of the Code of Criminal Procedure.²

Advice

1. Purpose of inclusion in the register

The AP notes that this is essentially a type of "blacklist," so much importance attaches to the requirement that legislation must be clear, precise, and predictable in application (legal certainty)³ and to the requirement that the draft is suitable for achieving the pursued objective of general interest or the protection of the rights and freedoms of others (suitability). The design of the legal criteria for registration and the objective of the registration make a careful impression and seem to be based on national policy, but still leave room for ambiguity.

The phrase "next subsidy for the same type of purpose" in the first paragraph of Article 7a of the draft is not clear. In the explanation of the first paragraph, it has been noted that the distinction between the purposes of subsidies will generally (simply) be made in the case where a subsequent subsidy is granted based on a different (small) subsidy scheme, but that more customization will be needed for larger subsidy schemes in which a (large) number of bases for subsidy provision for multiple (subsidy) purposes are present.⁴ The AP doubts whether it is always clear in advance for a subsidy applicant or recipient whether there is a subsidy for "the same type of purpose" in the case of more complex subsidy schemes, as it is not clear in all cases how broadly or narrowly the subsidy purpose will be interpreted. Furthermore, the question can be raised whether using a limitation to "the same type of purpose" is the most obvious limitation given the pursued goal of establishing the register, namely to prevent the misuse of subsidies. A (too) strict application of this limitation could, in the opinion of the AP, lead to the register being less effective in achieving its goal.

Article 7a, sixth paragraph, of the draft provides, according to the explanation of the first paragraph, the possibility to additionally regulate, if necessary by means of a general administrative measure or ministerial regulation, that registration may only be used for the purpose of preventing misuse in a subsequent subsidy provision based on the relevant subsidy module, and thus that the registration may not be used more broadly for multiple subsidy modules. The AP infers from this that account is evidently already being taken of

1 Article 7a, first paragraph, of the draft and the accompanying explanation.

2 Article 7a, second paragraph, of the draft.

3 Established case law, see also o. 41.

4 Explanation of Article 7a, first paragraph.

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the possibility of ambiguity regarding whether in a specific case there is or is not a subsidy for 'the same type of purpose' and thereby regarding whether the subsidy provider may or may not make use of the register for the assessment of a subsidy application.

The AP advises, with regard to the required suitability, to further refine the objective of registration in the draft or to choose a different distinguishing criterion than 'the same type of purpose'.

2. Criteria for inclusion in the register

Furthermore, the AP notes that the concept of 'abuse' is not clear in itself. It is likely that fraud (deception, forgery) constitutes abuse. In such cases, a report must be made pursuant to Article 162, first paragraph, introductory phrase and subparagraph c, of the Code of Criminal Procedure (Sv). According to the text of Article 7a, second paragraph, of the draft, registration can also occur in the case of abuse without a report being made.⁵ It is unclear whether abuse without (suspicion of) criminal conduct, and thus without a report being made pursuant to Article 162 Sv, is also included in the possibilities, and if so, what behaviors that would entail.

The AP advises to further refine the criteria for registration in the draft and/or to supplement the explanation on this point.

3. Duration of inclusion in the register

Furthermore, Article 7a, third paragraph, of the draft states that the data in the register may be recorded and retained for a maximum period of three years after the date on which a measure as referred to in the second paragraph has been taken. The explanation⁶ states that a registration will lapse if a measure is revoked after an objection or appeal, as this measure would then no longer apply retroactively. It is unclear what happens to a registration if a registered individual is acquitted after a report or if the case is dismissed.

The AP advises to supplement the explanation on this point.

4. Access to the register

The draft also states that the register, as referred to in the first paragraph, is exclusively updated, managed, and consulted by officials designated for this purpose by Our Minister.⁷ According to the explanation of the fourth paragraph, access to the register must, of course, be limited as much as possible and is only necessary for certain officials who are directly involved in subsidy provision on behalf of and in the policy area for which the responsibility lies with the relevant minister of the Ministries of EZK or LNV. According to the explanation, access to the register is therefore only related to the activities of RVO.

⁵ Article 7a, second paragraph, subparagraphs a to c, of the draft.

⁶ Explanation accompanying Article 7a, third paragraph, introductory phrase, of the draft.

⁷ Article 7a, fourth paragraph, of the draft.

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The AP endorses the importance of as limited access to the register as possible as a safeguard for the protection of personal data. It is important that the draft sufficiently indicates under what circumstances and conditions personal data may be processed.

The AP notes that the fourth paragraph of Article 7a of the draft is broadly formulated and does not contain a limitation regarding the officials to be designated, while it is, according to the explanation, self-evident that access to the register is to be limited as much as possible and only pertains to the activities of the RVO.

The AP advises to refine the draft on this point in accordance with the intention as stated in the explanation of the fourth paragraph.

Workload AP

The AP notes that the draft is not expected to necessitate additional efforts by the AP.

Disclosure

This advice will be published on the AP's website within two weeks.

Yours sincerely,

Authority for Personal Data,

Aleid Wolfsen

Chairman